

THE FINE PRINT

- ▶ **Airport currency exchange counters are expensive; always buy foreign currency in advance for better rates**
- ▶ **Forex cards let you lock exchange rates, helping avoid losses from currency fluctuations**
- ▶ **Using regular credit cards abroad can cost more due to forex markup and hidden fees**
- ▶ **Multicurrency forex cards are ideal for multi-country trips—avoid cross-currency charges and extra conversion fees**
- ▶ **Avoid withdrawing cash abroad unless necessary—ATM and conversion charges can quickly add up**
- ▶ **Some banks charge inactivity fees on unused forex cards after 6–12 months—check the terms**

action fees, and various payment methods—forex cards, credit or debit cards, UPI, or even cash—it's easy to get overwhelmed. Each option comes with its own pros, cons, and hidden charges.

Whether you're shopping in Paris, dining in Dubai or sightseeing in Singapore, how you carry and spend money can have a big impact on your budget.

FOREX CARDS

A forex card is a prepaid travel card that lets you load foreign currency before your trip. It's one of the most cost-effective ways of carrying money abroad as it locks in competitive exchange rates and protects you from currency fluctuations. These cards allow payments in the local currency of your destination, helping you plan and manage expenses better.

However, the rate offered is usually higher than the interbank rate (IBR), which is the real-time rate at which banks trade currencies with each other. Since IBR reflects movements in the open currency market, it's crucial to check how much your bank or forex provider is charging above this.

Sudarshan Motwani, Founder and CEO, BookMyForex, a foreign exchange operator, says, "Our Global Forex Card, a USD-denominated card accepted in over 200 countries, is available at up to 2% below interbank rates—the same rates that you see on search engines. That makes it one of the most transparent and cheapest ways of carrying money abroad." The card comes with no cross-currency fees, no ATM charges and no issuance or reloading fees.

These are available as single-currency or multicurrency cards. For frequent travellers visiting multiple countries, multicurrency cards are ideal. "If you use the card in a currency not loaded on it, you could incur a cross-currency charge of 2% to 5%, unless your card offers a zero forex markup," says Adhil Shetty, CEO, BankBazaar.

CREDIT CARDS

Credit cards are a preferred option for many travellers for its ease and perks—like lounge access or rewards points.

But most travellers overlook the hefty fees involved. "Suppose you spend ₹1,00,000 abroad on a credit card. You may end up paying 2–4% in foreign transaction fees, 1–3.5% in dynamic curren-



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